ANNEXURE I: Title Page

Minor Project Report on Operational and Financial Performance of the Food Corporation of India: A KPI-Based Analysis with Special Reference to Gujarat Region

Organisation Studied

Food Corporation of India

Submitted to

School of Management Studies

Under the Guidance of

Dr. Ramdas Gore

Asst. Professor

In the partial fulfilment of the Degree of Master of Business Administration

MBA Business Analytics

and Intelligence

Offered by

National Forensic Sciences University

Knowledge | Wisdom | Fulfilment

An Institution of National Importance

(Ministry of Home Affairs, Government of India)

Prepared By

Name: Laksh Patel

EnrolmentNo.:250104004025

MBA Semester III | October 2026

ANNEXURE II: Institute Certificate

Date: __/__/

Institute Certificate<on Institute's Letterhead>

CERTIFICATE BY THE MENTOR

"This is to Certify that this Minor Project Report entitled **Operational and Financial Performance of the Food Corporation of India: A KPI-Based Analysis with Special Reference to Gujarat Region** by **Laksh Patel** bearing enrollment no. **250104004025** submitted to School of Management Studies, National Forensic Sciences University for the partial fulfillment of **MBA (Business Analytics and Intelligence)**, is a record of her / his minor project carried out under my supervision. I also certify further, that to the best of my knowledge the work reported herein does not form part of any other project report or dissertation on the basis of which a degree or award was conferred on an earlier occasion on this or any other candidate. I have also checked the plagiarism extent of this report which is

…… % and it is below the prescribed limit of 30%. The separate plagiarism report in the form of pdf file is enclosed with this.

Rating of Project Report [A/B/C/D/E]: _____

(A=Excellent; B=Good; C=Average; D=Poor; E=Worst) Date :

Place : Designation

School of Management Studies,

National Forensic Sciences University

ANNEXURE III: Student's Declaration

Student's Declaration

I hereby declare that the Minor Project Report titled "Operational and Financial Performance of the Food Corporation of India: A KPI-Based Analysis with Special Reference to Gujarat Region" is a result of my own work and my indebtedness to other work publications, references, if any, have been duly acknowledged. If I am found guilty of copying from any other report or published information and showing it as my original work, or extending the plagiarism limit, I understand that I shall be liable and punishable by the university, which may include 'Fail' in examination or any other punishment that university may decide.

Enrollment No.	**Name**	**Program Name**
250104004025	Laksh Patel	Business Analytics and Intelligence

Date: _____ **Laksh Patel**

Place: _____

ANNEXURE IV: Format for Evaluation

Format for Evaluation

This is to certify that project work embodied in this report entitled **Operational and Financial Performance of the Food Corporation of India: A KPI-Based Analysis with Special Reference to Gujarat Region** was carried out by **Laksh Patel** bearing **Enrolment no: 250104004025** of **Business Analytics and Intelligence, School of Management Studies.**

The report is approved / not approved.

Comments of External Examiner:

This report is for the partial fulfillment of the requirement of the award of the degree of Master of Business Administration offered by the National Forensic Sciences University

Date: _____ ----------

Place: National Forensic Sciences University (Examiner's Sign)

Name of Examiner:

ANNEXURE V: Executive Summary

Executive Summary

This minor project analyses the operational and financial performance of the Food Corporation of India (FCI), with special reference to its Gujarat Region, using a set of Key Performance Indicators (KPIs). The study is based on secondary data from FCI's Annual Reports for 2022-23 to 2024-25, with selected indicators compared against the pre-COVID year 2019-20.

Five performance areas are examined — procurement, storage, distribution, financial performance, and losses and efficiency — using year-on-year growth, Compound Annual Growth Rate (CAGR), ratio analysis, and gap analysis against buffer norms and subsidy requirements.

National procurement recovered to 559 lakh metric tonnes (LMT) in 2024-25 but remained 2.9% below 2022-23. Storage capacity grew 36% over three years, almost entirely through hired warehousing, while average utilisation improved from 64% to 84%. Total foodgrain movement fell 28%. FCI does not undertake procurement in Gujarat (MSP procurement in the state is carried out by the Government of Gujarat through the Gujarat State Civil Supplies Corporation); the role of FCI's Gujarat Region is storage and distribution. Its storage capacity has grown by about 50% since 2019-20 (6.23 LMT to 9.34 LMT), utilisation was about 91% in the latest years reported, and foodgrain offtake rose 18.6% between 2022-23 and 2024-25.

Financially, the food subsidy required in 2024-25 (₹1,46,524 crore) exceeded the subsidy released by the Government of India (₹1,29,089 crore) by ₹17,434 crore, while FCI's short-term borrowings rose 262% in the same year. Storage cost was the fastest-rising major cost (+62.7% in 2024-25). Transit losses improved from 0.22% to 0.17% of movement, but demurrage per tonne more than doubled between 2019-20 and 2024-25 even though movement volumes fell.

The report recommends rebalancing owned and hired storage, seasonal contracting of hired storage, better wagon and depot scheduling to control demurrage, regular KPI-based monitoring using FCI's existing data systems, and better region-level data disclosure. The study also found several inconsistencies in the compiled secondary data; these have been flagged and excluded rather than used, and they show why data should be verified before it is analysed.

Table of Contents

ANNEXURE I: Title Page....1

ANNEXURE II: Institute Certificate....2

ANNEXURE III: Student’s Declaration....3

ANNEXURE IV: Format for Evaluation....4

ANNEXURE V: Executive Summary....5

Chapter 1: Introduction to the Study....7

Chapter 2: Company Profile — Food Corporation of India (FCI)....9

Introduction....9

Major Activities undertaken by FCI....12

Chapter 3: Literature Review....14

Chapter 4: Research Methodology....18

Chapter 5: Data Analysis and Interpretation....21

Chapter 6: Key Findings....33

Chapter 7: Recommendations....35

Chapter 8: Conclusion....36

References....37

Chapter 1: Introduction to the Study

1.1 Introduction

This study, titled “Operational and Financial Performance of the Food Corporation of India: A KPI-Based Analysis with Special Reference to Gujarat Region”, examines how the Food Corporation of India (FCI) has performed on its core operational and financial functions in recent years, with special reference to its Gujarat Region. Instead of describing FCI only in general terms, it uses a set of Key Performance Indicators (KPIs) — a basic business analytics approach — so that performance can be measured in the same way across years.

Data becomes useful for decision-making only when it is organised and analysed. Using FCI’s published Annual Reports, this report examines five areas: procurement; storage capacity and utilisation; distribution and movement; financial performance; and operational losses and efficiency. It also examines storage and distribution data that is specific to the Gujarat Region.

Food security is one of the fundamental pillars of national development. India has over 140 crore citizens, highly diverse agro-climatic zones, and large differences in income across regions. Ensuring that every household has food that is available, affordable and easy to obtain is a statutory commitment under the National Food Security Act, 2013. Over six decades, FCI has grown from a basic grain-purchasing body into an organisation running a large supply chain that procures, stores and distributes foodgrains across every state and union territory, including hilly and remote areas.

Analysing FCI’s performance helps us understand how much foodgrain is procured, stored and distributed, what this costs, and where efficiency can be improved. For example, FCI’s storage cost rose to about ₹4,023 crore in 2024-25, an increase of 62.7% over the previous year, while its paid-up capital rose to ₹20,924 crore.

The central question of this report is whether FCI’s growth in capacity and funding has been matched by better operational efficiency. The analysis shows a mixed picture: some indicators, such as transit losses and storage utilisation, have improved, while others, such as storage cost and demurrage charges, have worsened. The report argues that regular, KPI-based monitoring can help FCI identify such problem areas earlier.

1.2 Objectives of the Study

1. To analyse trends in FCI's national procurement volumes and procurement costs from 2022-23 to 2024-25.

2. To evaluate storage capacity and utilisation at the national level and in the Gujarat Region.

3. To assess FCI's distribution and movement performance, including NFSA offtake nationally and foodgrain offtake in Gujarat.

4. To examine FCI's key financial indicators, including food subsidy, borrowings and major cost items.

5. To identify operational gaps through a KPI-based analysis of losses, demurrage and buffer stocks.

6. To compare FCI's post-COVID performance with its pre-COVID (2019-20) baseline on selected indicators.

7. To suggest practical, data-based recommendations.

1.3 Scope of the Study

The study covers FCI's operations at the national level and in the Gujarat Region (West Zone). The main period of analysis is 2022-23 to 2024-25. Selected indicators are also compared with 2019-20 (pre-COVID) and 2020-21 to 2021-22 (COVID period).

The study is based on secondary data from FCI's published Annual Reports, compiled into a master dataset. Gujarat-specific detail is used wherever the Annual Reports publish it; where they do not, national figures are used, and this is stated clearly in the analysis.

Chapter 2: Company Profile — Food Corporation of India (FCI)

Introduction

FCI's journey began in 1965 when it was established under the Food Corporations Act, 1964.

The Food Corporations Act, 1964 is a piece of legislation that was enacted primarily with the aim of regulating and managing food grain *procurement*, *storage*, *distribution*, and related activities. This act plays the pivotal role in ensuring food security, stabilizing food prices, and promoting agricultural development within the country.

2.1 Key provisions and objectives of the Food Corporations Act, 1964 cover Procurement of Food Grains, Storage and Warehousing, Distribution and Allocation, Price Stability, Food Security, Promotion of Agriculture, Reduction of Food Wastage, Regulatory Authority and Government Control.

FCI was established under this Act to ensure food security for the people of India. FCI is responsible for procuring, storing, and distributing of food grains and other essential commodities. This mission resonates with the core values of equity, accessibility, and inclusivity, as we strive to provide affordable and quality food to all citizens.

(FCI, 2026)

2.2 Vision of Food Corporation of India:

FCI envision a future where hunger and food scarcity are eradicated from our great nation. We aim to be the pioneering force sustaining self-sufficiency in food production and distribution in India. (FCI, 2026)

2.3 Values of FCI:

Integrity*:* FCI upholds the highest standards of integrity and transparency in all our operations.

Inclusivity*:* FCI is committed to ensuring that no one goes hungry in India, and we strive to make essential food accessible to all, especially the marginalized and underprivileged.

Efficiency*:* FCI continuously strives to achieve operational efficiency and technological advancement in all its operations by continuously improving processes to serve the nation better.

***Innovation**:* FCI embrace innovation to optimize food management and distribution, making the best use of resources and technology.

(FCI, 2026)

2.4 FCI Gujarat Region: Organizational Profile

The Food Corporation of India's West Zone, which is headquartered at Mumbai and under the charge of Executive Director (West), Shri Ashwani Kumar Gupta. The Gujarat Region has its office at Ahmedabad and it extends over 4 Divisional Offices in the State. Its area of operation also extends to the Union Territory of Dadra Nagar Haveli and Daman and Diu.

(FCI, Food Corporation of India, 2026)As confirmed by FCI's Regional Office, Ahmedabad, FCI does not undertake foodgrain procurement in Gujarat. The core functions of the Gujarat Region are the storage of central pool stock and its distribution under the National Food Security Act (NFSA) and other welfare schemes. Where MSP procurement does take place within the state — for example of bajra, jowar, maize and paddy — it is carried out by the Government of Gujarat through its nodal agency, the Gujarat State Civil Supplies Corporation Ltd. (GSCSC), not by FCI (GSCSC, n.d.; ANI, 2025). Notably, FSD Mehsana (Gujarat) secured 2nd position at the all-India level for best operational unit in Special Campaign 4.0 (2025) for cleanliness (FCI, 2026).

Parameter	Detail
Zone Classification	West Zone (Mumbai)
Divisional Offices	4
UT Coverage	Dadra Nagar Haveli, Daman and Diu
Core Function	Storage of central pool stock; distribution under NFSA/PDS and allied welfare schemes (FCI does not undertake procurement in Gujarat)
Notable Achievement	FSD Mehsana – 2nd Place, Special Campaign 4.0 (2025)
Storage Capacity (2024-25)	9.34 LMT (Owned + Hired)
Storage Utilization (2024-25)	91%

Table 2.1 FCI Gujarat Region Profile

UT: Union Territory

2.5 Objectives:

The Food Corporation of India was setup under the Food Corporations Act, 1964 in order to fulfil following objectives of the Food Policy:

1) Effective price support operations for safeguarding the interests of the farmers.

2) Distribution of food grains throughout the country for Public Distribution System.

3) Maintaining satisfactory level of operational and buffer stocks of food grains to ensure National Food Security. (FCI, Food Corporation of India, 2026)

2.6 The role of FCI in India's success in transforming the crisis management-oriented food security into a stable security system:

Food Corporation of India plays a pivotal role in India's food management system by procuring, storing, and distributing food grains efficiently and effectively, thereby contributing to the country's food security and agricultural development.

FCI's mission is to provide food grains and allied essential commodities at reasonable prices and with impeccable quality. FCI is dedicated to serving the nation by safeguarding the interests of both consumers and farmers. (Food Corporation of India)

2.7 FCI’s Core Functions are:

1) Procurement: FCI, along with state procuring agencies procure food grains from farmers at Minimum Support Prices (MSPs), ensuring fair returns to the growers and a stable food supply for the nation.

2) Storage: FCI maintains an extensive network of modern warehouses and silos to store food grains and commodities safely and efficiently.

3) Distribution: FCI’s distribution network spans across the length and breadth of India, ensuring that food grains reach even the remotest corners.

4) Buffer Stock Management: FCI manages the strategic buffer stock of essential food grains to meet any unforeseen contingencies, such as droughts, floods, or other emergencies. The strength of buffer stock managing capabilities of FCI was demonstrated during the Covid pandemic and related break down of regular supply chain.

5) PDS Operations: FCI supplies food grains to State Govt. for the Public Distribution System (PDS) to provide subsidized food grains to vulnerable sections of society.

With presence in every corner of the country, FCI's extensive reach spans over all states and union territories. FCI's dedicated workforce ensures that food grains reach even the most remote areas, from the Himalayan peaks to the coastal shores. (FCI, Food Corporation of India, 2026)

2.8 What is Food Security?

Food security, widely defined by *FAO*, has basically four pillars:

Availability: Food should be available in sufficient quantity at all times and at all places.

Affordability: Food should be affordable, i.e., people should have economic access (ample income) to buy food.

Absorption: Food should be safe and nutritious that body can absorb for a healthy life; and finally.

Stability: Food system should be reasonably stable, as high volatility in food systems impacts adversely not only the poor but also endangers the stability of political and social systems.

Major Activities undertaken by FCI

2.9 Procurement:

The Central Government extends price support for procurement of *wheat*, *paddy* and *coarse grains* through the FCI and State Agencies. All the food grains conforming to the prescribed specifications are procured by the public procurement agencies at the **Minimum Support Price (MSP)** plus incentive bonus announced, if any.

Procurement is undertaken both in DCP & Non-DCP mode.

Under Decentralized Procurement Scheme (DCP), introduced in 1997-98, food grains are procured and distributed by the State Governments themselves. The designated States procure, store and issue food grains under TPDS and other welfare schemes of the Government of India. The decentralized system of procurement was introduced to enhance the efficiency of

procurement for PDS and to encourage procurement in non-traditional States as well as to save on transit losses and costs.

Before the start of each procurement season, Govt. of India announces uniform specification for quality of wheat, paddy, rice and coarse grains.

Quality Control Division of FCI ensures procurement of food grains from procurement centres strictly in accordance with Govt. of India's uniform quality specifications.

As decided by the CCEA (The Cabinet Committee on Economic Affairs), FCI has also been nominated as an additional nodal Agency for procurement of Pulses and Oilseeds. The Department of Agriculture and Co-operation is drawing up guidelines /MoU for FCI to procure the said items. (Citizens Charter of FCI, 2026)

2.10 Targeted Public Distribution System

FCI meets the requirements of TPDS through grains procured which are issued at Central Issue Price fixed by GOI to fulfil the objective of helping the economically vulnerable sections of society. FCI delivers food grains to State Govt./ State Agencies from its base depots for distribution by the latter through Fair Price Shops. The role of FCI becomes even more important in the backdrop of National Food Security Act, 2013, that commits to distribute more than 61 MMT through targeted public distribution system (TPDS) and other welfare schemes (OWS), at highly subsidized prices. (Citizens Charter of FCI, 2026)

Chapter 3: Literature Review

3.1 Food Security and the Role of Public Procurement Agencies

Food security, as defined at the 1996 World Food Summit, exists when "all people, at all times, have physical and economic access to sufficient, safe and nutritious food to meet their dietary needs and food preferences for an active and healthy life" (FAO, 1996). The definition was later broadened to include social access — "physical, social and economic access" (FAO, 2001) — recognising that access to food also depends on social entitlements and not only on availability and purchasing power. In India, this objective is pursued through a state-run system of procurement, storage and distribution, with FCI as the central agency. The National Food Security Act, 2013 gives a legal entitlement to subsidised foodgrains to up to 75% of the rural and 50% of the urban population (Government of India, 2013), which makes the efficiency of this system a matter of public policy and not only of internal management.

The High Level Committee on Reorienting the Role and Restructuring of FCI (2015), chaired by Shanta Kumar, reviewed this system and recommended several reforms, including a review of procurement policy, greater use of outsourced storage, and negotiable warehouse receipts for farmers. Its widely quoted estimate that only about 6% of farmers sell at MSP to government agencies has been questioned by some critics, which shows the importance of checking the data behind performance claims.

3.2 Performance Measurement in Public Sector Organisations

Measuring performance in public sector enterprises is different from the commercial sector, because profit is not the main objective. Boyne (2002) argues that public-sector performance is multidimensional — covering outputs, efficiency, service outcomes, responsiveness and democratic accountability — so no single measure is adequate. This is especially true of FCI, whose accounts are designed to break even through government subsidy, so its net profit says little about its efficiency.

The Comptroller and Auditor General of India's performance audit of storage management and movement of foodgrains by FCI (CAG, 2023), covering 2017-18 to 2021-22, examined storage capacity and utilisation, hiring of godowns, storage losses and movement operations, and pointed to gaps in planning and cost control. Audits of this kind are, however, retrospective: they review past lapses rather than tracking performance on a regular basis.

3.3 Business Analytics and KPI-Based Decision-Making

Turban, Sharda and Delen (2011) describe business intelligence as an umbrella term that combines architectures, tools, databases, analytical tools, applications and methodologies, with the aim of giving managers timely access to data and the ability to analyse it. Chen, Chiang and Storey (2012) trace the development of business intelligence and analytics from reporting on structured internal data to the analysis of much larger and more varied data, and note its growing use in government as well as business.

At a basic level, these ideas are applied through Key Performance Indicators (KPIs): a small set of measures, tracked consistently over time, that show whether an organisation is improving or falling behind. FCI already operates digital systems, such as its Depot Online System and the Anna Darpan platform, which generate large amounts of operational data. The question this study explores is how such data, as summarised in the Annual Reports, can be turned into regular performance measurement.

3.4 Gujarat's Role in the Food Distribution System

Gujarat differs from the major procuring states in FCI's network. As confirmed by FCI's Regional Office, Ahmedabad, FCI does not undertake procurement in Gujarat; its Gujarat Region stores central pool stock received from other states and issues it under NFSA, the Public Distribution System and other welfare schemes. MSP procurement that does take place within Gujarat is carried out by the State Government through GSCSC, the state's nodal agency for purchasing foodgrains at MSP (GSCSC, n.d.). For example, Gujarat's procurement of maize and bajra in KMS 2022-23 was reported at about 766 tonnes against an approved quantity of 30,000 tonnes (Krishi Jagran, 2023). The performance of FCI's Gujarat Region is therefore best judged through storage and distribution indicators rather than procurement.

3.5 Research Gap

To identify the research gap, the main existing studies on FCI and on business analytics were compared on three points: the period they cover, the geographic level they analyse, and whether they use a KPI-based performance framework. Table 3.1 summarises this comparison. The review is limited to the studies listed and is not a systematic search of all published work.

Study	Focus and period covered	Level of analysis	What it does not cover
CAG (2023), Report No. 20 of 2023	Performance audit of FCI's storage management and movement of foodgrains, 2017-18 to 2021-22	National	Ends in 2021-22, so no post-COVID years; no Gujarat-level analysis; an audit of past lapses, not a KPI-based performance review
High Level Committee (2015), chaired by Shanta Kumar	Policy review of FCI's role in procurement, storage and distribution	National	Policy recommendations rather than year-by-year performance measurement; pre-dates the post-COVID period; no regional analysis
Srivastav (2017)	Performance appraisal of FCI's functions: procurement, storage, distribution and buffer stocks	National	Pre-2017 period; no regional analysis; no KPI or Business Intelligence framework
Kumar, Dey and Gupta (2023)	Management case study on making FCI's public procurement more inclusive and efficient	Procurement operations	Covers procurement only; no storage, distribution or financial KPIs; no Gujarat analysis
Turban et al. (2011); Chen, Chiang and Storey (2012)	Concepts and methods of business intelligence and analytics	General / private sector	Not applied to FCI or to any public food distribution agency
FCI Annual Reports (2022-23 to 2024-25)	Official operational and financial data for each year	Mostly national; limited region-wise tables	Present data year by year; no multi-year KPI comparison and no region-level financial analysis
PIB (2024)	Government summary of FCI reforms and selected results up to 2023-24	National	Official summary of achievements, not an independent multi-year performance analysis; no regional analysis

Table 3.1 Review of Existing Studies

This comparison shows three clear gaps in the existing work:

1. Time gap: Among the studies reviewed, none analyses FCI's performance over the post-COVID years 2022-23 to 2024-25 in a consistent framework or compares them with the pre-COVID baseline of 2019-20. The most recent independent review, the CAG audit (2023), ends at 2021-22, and the PIB (2024) note reports selected results only.

2. Regional gap: The studies reviewed analyse FCI at the national level or focus on procurement. None examines Gujarat, where FCI does not undertake procurement and its role is limited to storing and distributing grain procured elsewhere.

3. Method gap: Earlier work is either an audit of past lapses or a descriptive overview of FCI's functions. None of the studies reviewed tracks FCI's performance through one consistent set of KPIs across procurement, storage, distribution, finance and losses.

This study addresses these gaps by analysing FCI's performance mainly over 2022-23 to 2024-25, with a comparison to 2019-20, using a simple five-area KPI framework, with special reference to the storage and distribution operations of the Gujarat Region.

Chapter 4: Research Methodology

4.1 Research Design

This study uses a descriptive and analytical research design. The descriptive part sets out FCI's performance on each indicator, year by year. The analytical part compares these indicators over time to identify trends, gaps and their likely causes. The approach is mainly quantitative and is based on secondary data.

4.2 Data Sources

Type	Source	Purpose
Supporting	Interaction with officials at FCI Regional Office, Ahmedabad	Understanding the Gujarat Region's role (e.g., that FCI does not undertake procurement in Gujarat)
Secondary	FCI Annual Report 2024-25 (61st Report)	Core data for all five performance areas
Secondary	FCI Annual Report 2023-24 (60th Report)	Year-on-year comparison data
Secondary	FCI Annual Report 2022-23 (59th Report)	3-year trend base data
Secondary	FCI Annual Reports 2019-20 to 2021-22	Pre-COVID and COVID-period comparison

Table 4.1 Data Sources

4.3 KPI Framework

The analysis is organised into five performance areas, each measured through a small set of Key Performance Indicators (KPIs), as shown in Table 4.2.

Performance Area	KPIs Measured	Data Source Section
Procurement	Volume (LMT), procurement cost per quintal, YoY change	Directors' Report: Section 3 & 5
Storage	Capacity (MT), Utilization %,	Directors' Report: Section 9

	Cost trend	
Distribution	NFSA offtake (LMT), OMSS sales, Movement	Directors' Report: Section 7 & 4
Financial	Subsidy, Revenue, Costs, Capital structure	Balance Sheet & P&L Statement
Losses & Efficiency	Transit loss %, Demurrage/MT, Savings	Directors' Report: Section 12 & 4

Table 4.2 KPI Framework (Performance Areas and Indicators)

4.4 Tools of Analysis

The following analytical tools are employed in this study:

- Year-on-Year (YoY) Growth: percentage change from one year to the next.
- Compound Annual Growth Rate (CAGR): average annual growth over the three-year period.
- Trend Analysis: tracking the direction of each indicator over the study period.
- Ratio Analysis: e.g., subsidy released versus subsidy required, transit loss as a percentage of movement, and cost per quintal or per tonne.
- Gap Analysis: comparing actual buffer stocks with buffer norms, and subsidy released with subsidy required.

4.5 Limitations of the Study

- The study relies entirely on secondary data from published annual reports; depot-level granular data for Gujarat is not separately published.
- Gujarat-specific financial data is not disaggregated in FCI’s annual reports; national figures are used as the primary financial dataset.
- The main analysis covers three financial years; the six-year comparison is limited to indicators for which reliable data is available.
- Some values in the compiled dataset (for example, 2019-20 national procurement, sales and movement volumes, and several Gujarat figures) appear inconsistent or carried

forward from the previous year; these have been excluded or flagged rather than used as reported.

- The literature review covers a limited set of studies and is not a systematic review.

Chapter 5: Data Analysis and Interpretation

5.1 Procurement Performance Analysis

Procurement is the entry point of the food security supply chain. The three-year data shows wheat and rice procurement moving in opposite directions.

Commodity	2022-23	2023-24	2024-25	3 Year Change
Wheat (LMT)	234	257	222	-5.1%
Rice (LMT)	342	279	337	-1.5%
Total (LMT)	576	536	559	-2.9%
Wheat YoY Change	Base	+9.8%	-13.6%	Net decline
Rice YoY Change	Base	-18.4%	+20.8%	Net stable

Table 5.1 FCI Procurement: 3-Year Comparison (Qty. in LMT)

Wheat procurement rose 9.8% in 2023-24 but fell 13.6% in 2024-25, while rice procurement moved the other way, falling 18.4% and then rising 20.8%. Total procurement recovered in 2024-25 but remained 2.9% below 2022-23. These figures are on a financial-year basis as reported in FCI's Annual Reports and may differ from the marketing-season (RMS/KMS) totals often quoted in the press. Swings of this size usually reflect crop output, open-market prices relative to MSP and state procurement arrangements; the Annual Report data used here does not allow these causes to be separated.

Parameter	2022-23	2023-24	2024-25	3 Year Change
Procurement Cost – Wheat (₹/Qtl)	248.13	254.34	296.29	+19.4%
Procurement Cost – Paddy (₹/Qtl)	237.83	290.95	317.04	+33.3%
Procurement	476.96	477.49	541.03	+13.4%

Cost – Rice (₹/Qtl)				
Distribution Cost (₹/Qtl sold)	372.55	328.23	306.60	-17.7%

Table 5.2 Procurement and Distribution Cost (₹ per Quintal)

Note: these per-quintal figures are far below the MSP itself (for example, the wheat MSP for RMS 2024-25 was ₹2,275 per quintal; Press Information Bureau, 2023), so they represent procurement-related costs over and above the MSP, not the MSP. Procurement-related costs rose for all three commodities — wheat by 19.4% (a CAGR of 9.2%), paddy by 33.3% and rice by 13.4% — while distribution cost per quintal fell 17.7%. In other words, FCI's distribution has become cheaper per unit even as procurement costs have risen, which adds pressure on the food subsidy bill.

5.2 Gujarat Region — Storage and Distribution Profile

Parameter	2022-23	2023-24	2024-25	Change
Total Storage Capacity (LMT)	9.34†	9.34	9.34	0%
Storage Utilization (%)	N/A	91%‡	91%‡	—
Foodgrain Offtake (Lakh Tonnes)	23.18	N/A	27.50	+18.6%
Closing Stock (Lakh Tonnes)	7.65	7.65‡	9.32	+21.8%
Total Staff (Gujarat)	523	617	577	+10.3%

Table 5.3 Gujarat Region — Storage and Distribution Profile (2022-23 to 2024-25)

† In the dataset, owned (4.93 LMT) and hired (2.91 LMT) capacity for 2022-23 add up to 7.84 LMT, not the 9.34 LMT total; this should be checked against the 2022-23 Annual

Report. ‡ These values are identical to the previous year in the dataset and may have been carried forward, so they should be read with caution. N/A: not available in the source data.

FCI does not undertake procurement in Gujarat — a point confirmed by FCI's Regional Office, Ahmedabad. In the compiled dataset, the 'Purchases/Procurement' line of the region's foodgrain account is nil in five of the six years; the only entry, 1,629 tonnes in 2020-21 (less than 0.05% of that year's offtake), could not be verified and is not treated as procurement in this study. The region's role is storage and distribution. Total storage capacity grew from 6.23 LMT in 2019-20 to 9.34 LMT in recent years, an increase of about 50%, and utilisation was reported at about 91% in the latest years available. Foodgrain offtake rose from 23.18 lakh tonnes in 2022-23 to 27.50 lakh tonnes in 2024-25 (+18.6%), while closing stock rose from 7.65 to 9.32 lakh tonnes (+21.8%). Closing stock therefore grew slightly faster than offtake, but at the end of 2024-25 it was still equal to only about four months of offtake ($9.32 \div 27.50 \times 12 \approx 4.1$ months), which does not suggest a serious build-up of surplus stock. A fuller assessment of distribution efficiency would need depot-level and fair price shop data, which is not published.

A note on data: the compiled dataset also contains a coarse grain (bajra, jowar, maize, ragi) procurement series on its Gujarat sheet. This is not FCI procurement. MSP procurement of coarse grains in Gujarat is carried out by the Government of Gujarat through GSCSC (GSCSC, n.d.; ANI, 2025), and the dataset's 2022-23 total (766 tonnes) matches the quantity reported for Gujarat's maize and bajra procurement in KMS 2022-23 (Krishi Jagran, 2023). The series therefore reflects state-agency procurement and is excluded from the analysis of FCI's Gujarat Region. This shows why secondary data should be checked against an organisation's actual operations before it is analysed.

5.3 Storage Capacity and Utilisation Analysis

Category	2022-23	2023-24	2024-25	3 Year Change
Owned – Covered (MT)	14.77	14.69	14.71	-0.4%
Owned – CAP (MT)	0.00	0.00	0.68	N/A
Hired: Central/State	0.41	0.49	1.61	+292.7%

(MT)				
Hired: CWC/SWC (MT)	11.26	12.36	16.05	+42.5%
Hired: Others (MT)	7.30	9.59	12.82	+75.6%
Total Capacity (MT)	33.74	37.13	45.87	+36.0%
FCI Total Pool (LMT)	337.43	371.37	458.71	+35.9%
State Agencies (LMT)	374.16	426.62	413.51	+10.5%
Grand Total (LMT)	711.59	797.99	872.22	+22.6%

Table 5.4 FCI Storage Capacity: 3-Year Comparison

MT (in this table): Million Tonnes | CWC: Central Warehousing Corporation

LMT: Lakh Metric Tonnes | SWC: State Warehousing Corporation

FCI's storage capacity expanded by 36% over three years, from 33.74 million tonnes in 2022-23 to 45.87 million tonnes in 2024-25. The expansion came almost entirely from hired capacity — CWC/SWC hired storage grew 42.5% and other hired storage 75.6% — while owned covered capacity stayed at about 14.7 million tonnes. FCI's own infrastructure has therefore not kept pace with its storage needs, and the growing dependence on hired storage, which generally costs more per unit, is linked to the rise in storage cost discussed in Section 5.5.

Date (Peak)	Owned (LMT)	Hired (LMT)	Total (LMT)	Utilization
30-06-2020	127.77	255.76	383.53	***93%***
30-06-2021	151.58	290.46	442.04	***92%***
30-06-2022	148.25	264.75	413.00	***78%****
30-06-2023	147.46	224.48	371.94	***89%***
30-06-2024	147.00	261.09	408.09	***92%***

Table 5.5 Peak-Season Storage Utilisation (as on 30 June)

LMT: Lakh Metric Tonnes

*Note: The 78% utilisation in June 2022 coincided with two events: a fall of more than half in wheat procurement in RMS 2022-23, and the extension of PMGKAY's (*Pradhan Mantri Garib Kalyan Anna Yojana*) additional free-grain allocation until December 2022, which drew down stocks. This is the kind of situation that better forecasting could help FCI plan for.

Average annual utilisation improved from 64% in 2022-23 to 74% in 2023-24 and 84% in 2024-25 — a 20-percentage-point improvement over three years. However, the 2024-25 range of 50–94% shows large seasonal variation, with low utilisation before the procurement season and peaks after it. Hiring storage on a seasonal rather than annual basis would allow FCI to reduce the cost of idle capacity in low periods.

5.4 Distribution Efficiency Analysis

Distribution Channel	22-23 Wheat	22-23 Rice	23-24 Wheat	23-24 Rice	24-25 (Wheat/Rice)
NFSA	143.89	188.18	129.43	177.15	139.52 / 181.05
Other NFSA (Tide Over)	4.63	6.83	4.61	6.55	4.29 / 6.80
PM Poshan	3.83	15.87	2.97	14.55	2.77 / 14.73
Nutrition Programme	8.51	7.45	8.34	5.91	8.50 / 9.57
Welfare Institutions	0.22	0.70	0.56	1.34	0.37 / 1.00
OMSS (D)	34.01	2.65	100.83	8.26	~41 / ~33
Defence / Para-Military	0.05	0.96	0.05	0.98	0.04 / 0.98
Ethanol	Nil	15.16	Nil	8.96	Nil / 2.52
Total Sales (reported)	261	416	247	224	195 / 260

Table 5.6: Distribution Performance: 3-Year Comparison (LMT)

LMT: Lakh Metric Tonnes. Note: for 2022-23 the scheme-wise rows add up to about 195 LMT (wheat) and 238 LMT (rice), well below the reported totals of 261 and 416 LMT; for 2024-25 rice the rows add up to about 250 LMT against 260 LMT. The 2022-23 difference most likely reflects the additional free-grain allocation under PMGKAY, which is not shown as a separate row in the dataset; this is an interpretation and has not been verified line by line.

NFSA wheat distribution fell from 143.89 LMT in 2022-23 to 129.43 LMT in 2023-24 and recovered to 139.52 LMT in 2024-25. NFSA rice distribution fell from 188.18 LMT to 177.15 LMT before recovering slightly to 181.05 LMT. The Open Market Sale Scheme (OMSS) shows the largest swings: wheat OMSS sales rose from 34.01 LMT in 2022-23 to 100.83 LMT in 2023-24 (+196%), as the government sold wheat in the open market to control prices, before falling to about 41 LMT in 2024-25, when wheat stocks were close to the buffer norm (Table 5.10). Rice OMSS sales, in contrast, rose sharply to about 33 LMT in 2024-25.

Mode	22-23 (LMT)	22-23 (₹ Cr)	23-24 (LMT)	23-24 (₹ Cr)	24-25 (LMT)	24-25 (₹ Cr)
Rail	497.29	8,305.55	360.78	5,802.08	339.94	6,162.07
Road	88.55	2,563.16	82.68	2,139.11	81.75	1,951.95
Steamer	0.04	18.63	0.05	21.85	0.03	19.53
Total	585.84	10,887.34	443.46	7,963.04	421.69	**8,133.55**

Table 5.7: Foodgrain Movement, Mode-wise (LMT and ₹ Crore)

LMT: Lakh Metric Tonnes

Total foodgrain movement fell from 585.84 LMT in 2022-23 to 421.69 LMT in 2024-25, a 28% decline. This most likely reflects the end of PMGKAY's additional allocation (which required large inter-state movement), lower OMSS volumes in 2024-25 and the decline in rice diverted to ethanol. Rail remains the main mode, carrying 339.94 LMT (80.6% of total movement) in 2024-25 against 81.75 LMT (19.4%) by road. Total freight cost fell from ₹10,887 crore to ₹8,134 crore. FCI's containerised movement — 233 container rakes in 2024-25, with freight savings of ₹502 lakh — shows the benefit of better logistics planning.

5.5 Financial Performance Analysis

FCI's finances are designed to break even: its costs are covered by sales revenue and by food subsidy reimbursed by the Government of India. Within the study period, the food subsidy was highest in 2022-23 at ₹2,04,539 crore, though this was below the COVID-year peak of ₹2,16,869 crore in 2020-21. It fell to ₹1,32,744 crore in 2023-24 after PMGKAY's additional allocation ended, and rose again to ₹1,46,524 crore in 2024-25, when buffer-related costs increased by 58.5%.

Parameter	2022-23	2023-24	2024-25
Authorised Capital (₹ Crore)	10,000	21,000	21,000
Subscribed & Paid-up Capital (₹ Crore)	9,979.79	10,157.04	20,924.02
Net Worth (₹ Crore)	9,958.87	10,136.12	20,924.02
Long-term Borrowings (₹ Crore)	36,700	36,700	36,700
Short-term Borrowings (₹ Crore)	3,000	14,875.45	53,885.79
Capital Employed (₹ Crore)	46,658.87	46,836.12	57,624.02
Consumer Subsidy Wheat (₹ Crore)	55,523.49	43,693.60	43,941.22
Consumer Subsidy Rice (₹ Crore)	1,45,149.62	81,055.52	90,340.70
Buffer Cost incl. Reimbursement to States (₹ Crore)	3,865.84	7,713.01	12,227.56
Total Food Subsidy (₹ Crore)	2,04,538.95	1,32,744.17	1,46,523.87
GoI Subsidy Released (₹ Crore)	2,00,219.20	1,39,661.03	1,29,089.40
Net Profit / Loss	₹0 (Break-even)	₹0 (Break-even)	₹0 (Break-even)

Table 5.8: Financial Highlights: 3-Year Comparison (₹ Crore)

A key stress indicator: the Government of India's actual subsidy release to FCI in 2024-25 (₹1,29,089 crore) was ₹17,434 crore below the total subsidy required (₹1,46,524 crore). In the

same year, FCI's short-term borrowings rose 262%, from ₹14,875 crore to ₹53,886 crore, which suggests that the shortfall was largely financed through borrowing.

Expenditure Item	2022-23	2023-24	2024-25	3 Year CAGR
Freight (₹ Lakh)	11,01,292.01	8,06,276.70	8,21,566.49	-13.6%
Storage Cost (₹ Lakh)	2,91,284.74	2,47,263.57	4,02,337.70	+17.5%
Handling Expenses (₹ Lakh)	4,19,289.14	3,67,898.74	3,47,878.17	-8.9%
Employee Cost (₹ Lakh)	2,97,096.25	3,22,641.69	3,51,990.77	+8.9%
Interest (₹ Lakh)	3,67,939.42	3,26,772.93	4,27,879.36	+7.8%
Depreciation (₹ Lakh)	12,117.53	14,926.71	18,399.21	+23.2%

Table 5.9: Key Expenditure Analysis (₹ Lakh)

Storage cost fell from ₹2,91,285 lakh in 2022-23 to ₹2,47,264 lakh in 2023-24, but then rose 62.7% in a single year to ₹4,02,338 lakh in 2024-25, in line with the growth in hired storage and higher stock levels. Interest cost fell in 2023-24 (to about ₹3,268 crore from ₹3,679 crore, figures that match those published by the Government; PIB, 2024) but rose 30.9% in 2024-25. Employee cost grew at a moderate 8.9% CAGR.

Freight cost fell 25.4% (from ₹11,01,292 lakh to ₹8,21,566 lakh) and handling expenses fell at a CAGR of 8.9%. However, movement volumes fell even faster (28%), so freight cost per tonne moved actually rose slightly, from about ₹1,880 to about ₹1,948 (+3.6%). The saving in freight is therefore due to lower volumes, not to lower rates — an important distinction when judging efficiency.

5.6 Buffer Stock Analysis

Period	Wheat Norm	Rice Norms	Wheat Stock	Rice Stock
01-04-2024	74.6	135.8	**75.2**	**301.6**
01-07-2024	275.8	135.4	**282.6**	**326.1**
01-10-2024	205.2	102.5	**237.8**	**310.6**
01-01-2025	138.0	76.1	**184.1**	**290.9**

Table 5.10 Buffer Stock Norms vs. Availability, 2024-25 (LMT)

FCI kept buffer stocks above the norms throughout 2024-25. Rice stocks were especially high — 301.6 LMT against a norm of 135.8 LMT on 1 April 2024, a surplus of 122%. Wheat, by contrast, was only just above the norm on that date (75.2 LMT against 74.6 LMT). Carrying 165.8 LMT of rice above the norm adds to buffer carrying costs and occupies storage space, which links to the cost increase seen in Section 5.5. Reviewing buffer levels against actual offtake could reduce this cost without affecting food security.

5.7 Losses and Operational Efficiency Analysis

Parameter	2022-23	2023-24	2024-25
Total Movement (LMT)	585.84	443.46	421.69
Transit Loss (LMT)	1.30	0.71	0.73
Transit Loss % of Movement	0.22%	0.16%	0.17%
Transit Loss Value (₹ Crore)	401.76	217.22	237.16
Storage Loss/Gain (LMT)	N/A	N/A	-0.66 (Gain)
Storage Gain Value (₹ Crore)	N/A	N/A	90.01 (Gain)

Table 5.11 Transit and Storage Losses: 3-Year Data

Year	Demurrage (₹/MT)	Wharfage (₹/MT)	Rebooking (₹

			Crore)
2019-20	4.27	0.08	0.74
2020-21	4.66	0.14	0.32
2021-22	6.34	0.10	0.36
2022-23	7.74	0.15	0.58
2023-24	7.19	0.11	0.25
2024-25	9.23	0.30	0.38

Table 5.12 Demurrage and Related Charges: 6-Year Trend

Transit losses fell from 0.22% of movement in 2022-23 to 0.17% in 2024-25. The 2023-24 figure of 0.16% matches the figure published by the Government of India, which attributes the improvement partly to tamper-proof, high-security cable seals used on rakes from 1 January 2023 and reports a 96% reduction in the number of rakes with transit losses above 0.5% (PIB, 2024). In 2024-25 FCI also recorded a net storage gain of 0.66 LMT, valued at about ₹90 crore.

Demurrage, however, tells a different story. The charge per tonne rose from ₹4.27 in 2019-20 to ₹9.23 in 2024-25, an increase of 116% in six years, even though total movement fell 28% between 2022-23 and 2024-25. This suggests a scheduling problem: rakes are arriving, but unloading at depots is not keeping pace. With 421.69 LMT of annual movement, every ₹1 per tonne reduction in demurrage — achievable through better wagon scheduling and depot planning — would save about ₹4.22 crore a year.

5.8 Pre-COVID vs. Post-COVID Comparison

FCI's performance can be viewed across three periods: the pre-COVID baseline (2019-20), the COVID period (2020-21 to 2021-22) and the post-COVID period, represented here by 2024-25. Table 5.13 summarises this comparison for the indicators where the data supports a reliable comparison.

A data-quality note: in the compiled dataset, the 2019-20 values for national procurement (50.15 LMT), total sales (45.59 LMT) and movement (38.93 LMT) are far lower than in later years and are not consistent with officially published figures — for example, the Economic Survey 2020-21 reports 519.97 LMT of rice procured in KMS 2019-20 alone (Ministry of Finance, 2021). They appear to be data-entry or unit errors, so procurement, sales and

movement are excluded from this comparison. Published marketing-season figures are also not directly comparable with the financial-year figures in FCI's Annual Reports, so no substitute figure has been used.

Parameter	Pre-COVID (2019-20)	COVID Period (2020-21 to 2021-22)	Post-COVID (2024-25)	Pre → Post Change
Storage Capacity (MT)	41.20	41.36 – 46.15	45.87	+11.3%
Avg. Storage Utilization (%)	84%	82% – 75%	84%	0 pp
Total Food Subsidy (₹ Crore)	1,32,408	2,16,869 – 2,06,816	1,46,524	+10.7%
Paid-up Capital (₹ Crore)	4,496.58	5,536.58 – 8,041.58	20,924.02	+365.3%
Transit Loss (% of movement)	0.23%	N/A*	0.17%	-26.1%
Demurrage (₹ per MT)	4.27	4.66 – 6.34	9.23	+116.2%
Container Rakes Moved	309	296 – 267	233	-24.6%

Table 5.13 Pre-COVID vs. COVID vs. Post-COVID Performance Comparison (National)

N/A*: transit loss data not available for 2020-21 and 2021-22 in the source data. pp: percentage points.

On the indicators that can be compared reliably, FCI's financial and physical size has grown well beyond its pre-COVID level. Paid-up capital is up 365.3% (₹4,497 crore to ₹20,924 crore), reflecting continued capital infusion rather than a one-time COVID response; most of the 2024-25 increase is consistent with the ₹10,700 crore equity infusion for working capital approved for 2024-25 (PIB, 2024). The food subsidy bill, after peaking in the COVID years (₹2,16,869 crore in 2020-21), is now 10.7% above its pre-COVID level. Storage capacity has grown 11.3%, and average utilisation is back at its pre-COVID level of 84%.

Efficiency indicators give a mixed picture. Demurrage has risen in every period — pre-COVID, COVID and post-COVID — and more than doubled overall (+116.2%), which supports the finding in Section 5.7 that it is a scheduling problem rather than a pandemic effect. Container rakes moved fell 24.6%, broadly in line with lower movement volumes. Transit loss, where comparable data exists, improved by 26.1%.

At the Gujarat level, storage capacity grew from 6.23 LMT in 2019-20 to 9.34 LMT in 2024-25 (+49.9%), broadly in line with the national expansion. Gujarat's distribution volumes for 2019-20 are not compared because comparable figures for the other years are incomplete.

Chapter 6: Key Findings

This chapter summarises the main findings of Chapter 5 for each performance area, linked to the objectives set out in Section 1.2.

6.1 Procurement Performance

National procurement recovered to 559 LMT in 2024-25 but remained 2.9% below 576 LMT in 2022-23, with wheat down 5.1% and rice broadly stable. Procurement-related costs per quintal rose (wheat +19.4%, paddy +33.3%, rice +13.4%) while distribution cost per quintal fell 17.7%, so cost pressure is coming mainly from the procurement side. FCI does not undertake procurement in Gujarat, so the Gujarat Region is assessed through storage and distribution (Section 6.6).

6.2 Storage and Warehousing

Storage capacity expanded 36% over three years (33.74 to 45.87 million tonnes), but almost entirely through hired capacity (CWC/SWC +42.5%, other hired +75.6%), while owned covered capacity stayed flat at about 14.7 million tonnes. This dependence on hired storage is linked to the storage cost increase noted in Section 6.4. Average utilisation improved by 20 percentage points, from 64% to 84%, but the 2024-25 range of 50–94% shows large seasonal variation.

6.3 Distribution Efficiency

Total foodgrain movement fell 28% over three years (585.84 to 421.69 LMT), largely reflecting the end of PMGKAY's additional allocation rather than a reduction in FCI's reach. OMSS was used actively to control prices — wheat OMSS sales rose 196% to 100.83 LMT in 2023-24 before falling to about 41 LMT in 2024-25. Rail carries over 80% of movement, and containerised movement saved ₹502 lakh in freight in 2024-25.

6.4 Financial Performance

FCI is designed to break even, with costs covered by sales revenue and government subsidy. In 2024-25 the subsidy required (₹1,46,524 crore) exceeded the subsidy released (₹1,29,089 crore) by ₹17,434 crore, and short-term borrowings rose 262% (₹14,875 crore to ₹53,886 crore) in the same year. Storage cost was the fastest-growing major cost (+62.7% in 2024-25). Freight (-25.4% over three years) and handling expenses (-8.9% CAGR) fell, but freight cost per tonne actually rose slightly, so these savings come from lower volumes rather than better rates.

6.5 Losses and Operational Efficiency

Transit losses improved from 0.22% to 0.17% of movement, and 2024-25 recorded a net storage gain of 0.66 LMT (about ₹90 crore). Demurrage per tonne, however, rose from ₹4.27 in 2019-20 to ₹9.23 in 2024-25 (+116%) even as movement fell. This points to a depot-unloading and wagon-scheduling problem, and is one of the clearest areas where data-driven improvement is possible. Rice buffer stocks were 122% above the norm on 1 April 2024, adding avoidable carrying cost.

6.6 Gujarat Region — Consolidated Insight

FCI does not undertake procurement in Gujarat; the Gujarat Region's role is storage and distribution (MSP procurement within the state is carried out by the State Government through GSCSC). On storage and distribution measures the region shows steady growth: storage capacity up about 50% since 2019-20 (6.23 to 9.34 LMT), utilisation of about 91% in the latest years reported, and foodgrain offtake up 18.6% (23.18 to 27.50 lakh tonnes) between 2022-23 and 2024-25. Closing stock grew slightly faster (+21.8%) but was still equal to only about four months of offtake. Some Gujarat figures in the compiled data — 2022-23 capacity and some carried-forward stock values — need to be checked against the original reports, which limits how far the regional conclusions can be taken.

6.7 Pre-COVID vs. Post-COVID Performance

Compared with 2019-20, FCI has grown in size: paid-up capital is up 365.3% and storage capacity up 11.3%, with average utilisation back at its pre-COVID level of 84%. The food subsidy bill is 10.7% above its 2019-20 level after peaking during the COVID years. Efficiency results are mixed: transit loss improved by 26.1%, but demurrage per tonne rose by 116.2%, increasing in every period, which suggests a long-running scheduling problem rather than a COVID effect. National procurement, sales and movement could not be compared reliably because the 2019-20 values in the dataset appear to be incorrect.

Chapter 7: Recommendations

The following recommendations respond to the gaps identified in Chapters 5 and 6 and address Objective 7 (Section 1.2).

- **Link Gujarat's storage planning to its offtake trend:** Gujarat's storage capacity grew about 50% while offtake grew more moderately, with utilisation around 91%. Further capacity additions in Gujarat should be based on regional offtake trends rather than national capacity targets alone.
- **Rebalance the owned-versus-hired storage mix:** Prioritise investment in owned covered storage in regions with consistently high utilisation, to reduce dependence on hired CWC/SWC and private capacity, which is the main driver of the 62.7% increase in storage cost in 2024-25.
- **Reduce demurrage through better scheduling:** Use data on rake arrivals and depot unloading capacity to plan wagon placement and labour, since demurrage per tonne rose 116% over six years despite lower movement. At 2024-25 movement volumes, each ₹1 per tonne reduction would save about ₹4.22 crore a year.
- **Adopt seasonal hired-storage contracts:** Move from annual to seasonal contracts for hired storage to reduce the cost of idle capacity in low-utilisation periods (as low as 50% in parts of 2024-25).
- **Review buffer stock levels against actual offtake:** Regularly compare buffer levels with consumption, especially for rice, where stocks on 1 April 2024 were 122% above the norm — a margin that adds avoidable carrying cost if maintained without need.
- **Make better use of existing data systems:** Use the data already captured in FCI's digital systems to maintain a simple KPI dashboard covering the indicators used in this study — utilisation, cost per quintal, freight cost per tonne, transit loss and demurrage — and review it regularly at regional level.
- **Improve regional data disclosure and validation:** Publish Gujarat-level storage, distribution and financial data in the Annual Reports, and check regional data with the Regional Office before it is used for analysis — this study found several Gujarat figures that were inconsistent or carried forward.
- **For future studies — verify the 2019-20 baseline:** The 2019-20 national procurement, sales and movement values in the compiled dataset appear to be incorrect and should be re-entered from the 2019-20 Annual Report before any future pre-COVID comparison is made.

Chapter 8: Conclusion

This study analysed the operational and financial performance of FCI, with special reference to the Gujarat Region, using KPIs drawn from FCI's Annual Reports for 2022-23 to 2024-25, together with a comparison with 2019-20 for selected indicators. Across procurement, storage, distribution, finance and losses, the results show an organisation that continues to meet its food security mandate, but with clear areas for improvement: growing dependence on higher-cost hired storage, a gap between the subsidy required and the subsidy released, and demurrage charges that have risen steadily since before the pandemic.

For the Gujarat Region, the most meaningful indicators are storage and distribution, since FCI does not undertake procurement in Gujarat. These show steady growth with high utilisation. The study also found that some regional and baseline figures in the compiled dataset need verification, which shows the value of checking secondary data before drawing conclusions. The recommendations in Chapter 7 — better storage planning, seasonal storage contracts, scheduling-based demurrage control and regular KPI monitoring — can largely be implemented within FCI's existing systems.

The study is limited by its reliance on secondary, nationally published data and by the absence of Gujarat-level financial data, so some conclusions about Gujarat combine regional operational data with national financial data. A longer time series and access to depot-level records would strengthen future work in this area.

On a personal note, this minor project helped me understand how a large public sector organisation reports its performance, and how basic analytical tools — growth rates, CAGR, ratio analysis and gap analysis — can turn published data into useful insights. It also showed the practical difficulty of working with secondary data that was not originally designed for this kind of analysis.

References

The following sources were used in the preparation of this report. Citations follow APA style.

ANI. (2025, November 22). *Gujarat govt to start direct procurement of paddy, bajra, jowar, maize, and ragi at MSP from Nov 24*. https://aninews.in

Boyne, G. A. (2002). Concepts and indicators of local authority performance: An evaluation of the statutory frameworks in England and Wales. *Public Money & Management, 22*(2), 17–24.

Chen, H., Chiang, R. H. L., & Storey, V. C. (2012). Business intelligence and analytics: From big data to big impact. *MIS Quarterly, 36*(4), 1165–1188.

Comptroller and Auditor General of India. (2023). *Report No. 20 of 2023: Performance audit on storage management and movement of foodgrains in Food Corporation of India* (for the year ended March 2022). Government of India.

Food and Agriculture Organization of the United Nations. (1996). *Rome Declaration on World Food Security and World Food Summit Plan of Action*. FAO.

Food and Agriculture Organization of the United Nations. (2001). *The State of Food Insecurity in the World 2001*. FAO.

Food Corporation of India. (2023). *Annual Report 2022-23* (59th Annual Report). Ministry of Consumer Affairs, Food and Public Distribution, Government of India.

Food Corporation of India. (2024). *Annual Report 2023-24* (60th Annual Report). Ministry of Consumer Affairs, Food and Public Distribution, Government of India.

Food Corporation of India. (2025). *Annual Report 2024-25* (61st Annual Report). Ministry of Consumer Affairs, Food and Public Distribution, Government of India.

Food Corporation of India. (n.d.). *Citizen's Charter*. https://fci.gov.in

Food Corporation of India. (2026). *Official website*. https://fci.gov.in

Government of India. (2013). *The National Food Security Act, 2013* (No. 20 of 2013).

Gujarat State Civil Supplies Corporation Ltd. (n.d.). *Foodgrains at MSP*. https://gscsc.apphost.in/en/procurement

High Level Committee on Reorienting the Role and Restructuring of Food Corporation of India. (2015). *Report of the High Level Committee on Reorienting the Role and Restructuring of Food Corporation of India* (Chairman: Shanta Kumar). Government of India.

Krishi Jagran. (2023, March 4). *Govt's millet procurement may be less than expected; only 17% of approved quantity procured*. https://krishijagran.com

Kumar, A., Dey, K., & Gupta, K. B. (2023). Food Corporation of India: Making public procurement more inclusive and efficient. *Asian Journal of Management Cases*. https://doi.org/10.1177/09728201231168246

Ministry of Finance, Government of India. (2021). *Economic Survey 2020-21* (Vol. 2). Department of Economic Affairs.

Press Information Bureau, Government of India. (2023). *Cabinet approves Minimum Support Prices (MSP) for all Rabi crops for marketing season 2024-25* [Press release]. pib.gov.in

Press Information Bureau, Government of India. (2024, November 23). *India's food security: Transformative role of Food Corporation of India (FCI)* [Backgrounder]. pib.gov.in

Srivastav, S. K. (2017). Performance appraisal of Food Corporation of India (FCI). *Voice of Intellectual Man: An International Journal*, *7*(1), 161–166. https://doi.org/10.5958/2319-4308.2017.00013.5

Turban, E., Sharda, R., & Delen, D. (2011). *Decision support and business intelligence systems* (9th ed.). Pearson Education.